

And Irving's enthusiasm for small companies became mine as well. Researching a big corporation just isn't the same. You usually end up talking to the investor relations officer, but even if you can get to some higher officials, you never know for sure who really makes the key decisions—they or an executive committee or a half-dozen division heads. And you rarely come away with the same sense of excitement. Paid hands, even with the prospect of a bonus, are not the same as the founders and drivers of small companies. At big companies you talk to executives. At small companies you talk to owners. An executive may be good at running a going concern, but it's the owner who is the risk taker able to conceive and create something that can make him and those who invest in him rich.

Just as important, a small company has just one or two businesses, so you can understand it. Big companies, with multiple divisions and broad product lines, are too complex to grasp thoroughly, no matter how much time you spend on them. I remember that many years ago I was surprised that Westinghouse had lost money on a manufactured-housing subsidiary I didn't even know it owned. These days a tobacco company owns a food company, a steel company owns an oil company, an electric turbine manufacturer owns a television network. When a company develops into a multi-industry giant, even the company's top management can't understand all that it does.

At big companies you talk to executives. At small companies you talk to owners.

At this point, you are probably wondering what size company is "small." Any company with a market capitalization of under \$1 bil-